Hamilton School for
Classical and Civic Education
UNIVERSITY of FLORIDA

Constitutional Choice

Why Fifty Percent Plus One?
ISS 2440 — Intro to PPEL

Louis Rouanet

Fall 2026

Who pays for the pizza?



Voting on who pays

- A class of 30 votes to order pizza for everyone.
- Six students pay the entire bill, the other 24 pay nothing. The proposal could pass 24–6.
- Before knowing which six students will pay, what voting rule would you agree to?

Tocqueville and the tyranny of the majority

Tocqueville, *Democracy in America*, 1835

"A majority taken collectively may be regarded as a being whose opinions, and most frequently whose interests, are opposed to those of another being, which is styled a minority. If it be admitted that a man, possessing absolute power, may misuse that power by wronging his adversaries, why should a majority not be liable to the same reproach? Men are not apt to change their characters by agglomeration; nor does their patience in the presence of obstacles increase with the consciousness of their strength."

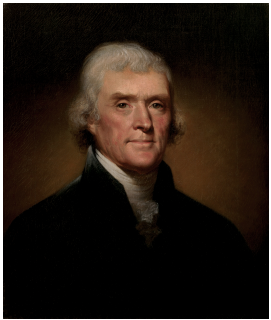


Alexis de Tocqueville
(1805–1859)

Majority rule and minority rights

Jefferson, First Inaugural Address, 1801

"All too will bear in mind this sacred principle, that though the will of the majority is in all cases to prevail, that will, to be rightful, must be reasonable; that the minority possess their equal rights, which equal laws must protect, and to violate would be oppression."



Thomas Jefferson
(1743–1826)

Why 50% + 1?

Unanimity as the benchmark

Decision rule: how many members of a group must agree before the group acts.
Majority: more than half. Supermajority: a larger share set in advance, such as two-thirds.
Unanimity: everyone.

- Under unanimity nothing passes without everyone's yes $\Rightarrow$ no one can be made worse off without consenting.
- A voluntary trade is unanimity between two people: buyer and seller both say yes.
- Wicksell (1896): unanimity is the test that a public program is worth what it costs.

Unanimity and the jury



The liberum veto



The Articles of Confederation and unanimity

- Articles of Confederation, Art. XIII: any change needs Congress, then the legislature of every state.
- 1781: Congress asks for a 5% duty on imports to pay the war debt. Every state but Rhode Island says yes; Rhode Island says no (1782) $\Rightarrow$ dead.
- 1783: a second 5% duty. New York attaches conditions and will not drop them (1787) $\Rightarrow$ dead again.

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- 1783: a second 5% duty. New York attaches conditions and will not drop them (1787) $\Rightarrow$ dead again.
- Constitution, Art. VII: nine of thirteen state conventions suffice (69.2%), and only among the states that ratify.

Decision-making costs

Decision-making costs: the time, effort and bargaining it takes to get enough members of the group to agree.

- A twelve-person jury can deliberate for days before it agrees.
- When every yes is needed, each member can hold out and bargain for a better deal for himself.
- These costs rise with the number who must agree, and climb steeply as the rule nears everyone.

External costs

External costs: the harm you expect from what others do, group decisions included, that you cannot stop.

- One hundred farmers. Each local road serves four or five farms. A repair passes by simple majority and is paid by a property tax on all 100.

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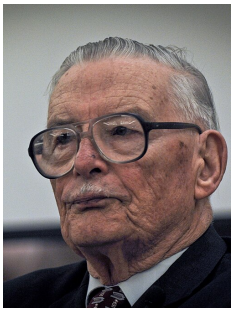
- One hundred farmers. Each local road serves four or five farms. A repair passes by simple majority and is paid by a property tax on all 100.
- Each farmer trades votes with 50 others to get his own road fixed. He counts only his own tax share; the 49 left out pay too.

$\Rightarrow$ Every road is kept up better, and at greater expense, than its own users would choose if they paid the whole bill.

The calculus of consent

The Calculus of Consent (1962) asks:

Which decision rule would you choose for your group before you know which side of future votes you will be on?

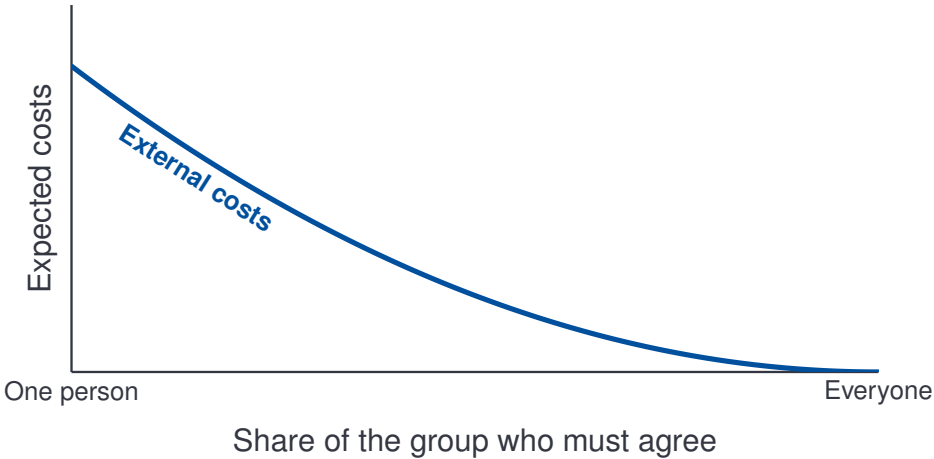


James M. Buchanan
(1919–2013)

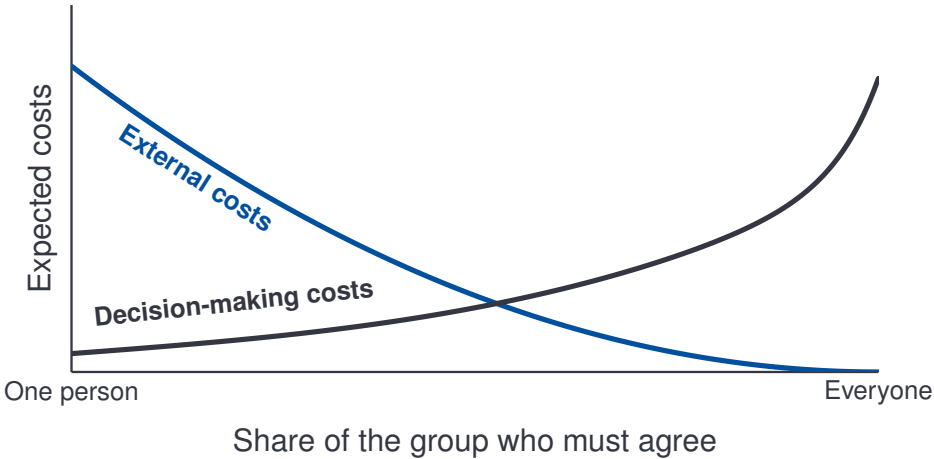


Gordon Tullock
(1922–2014)

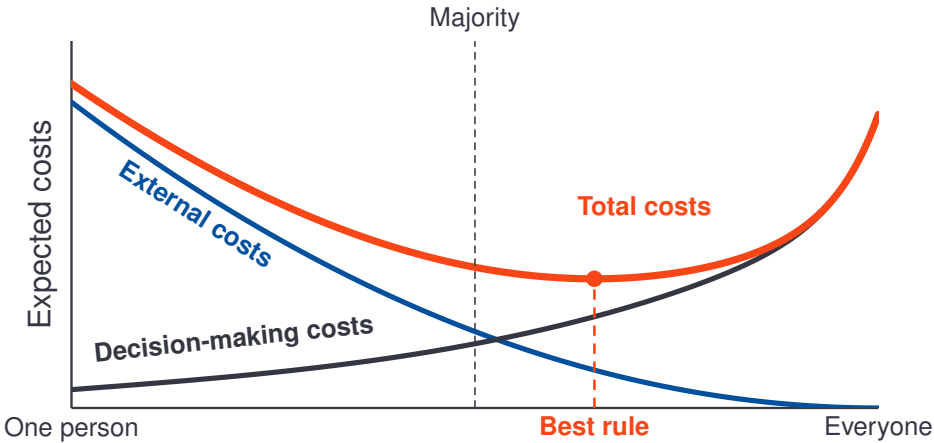
Choosing a decision rule



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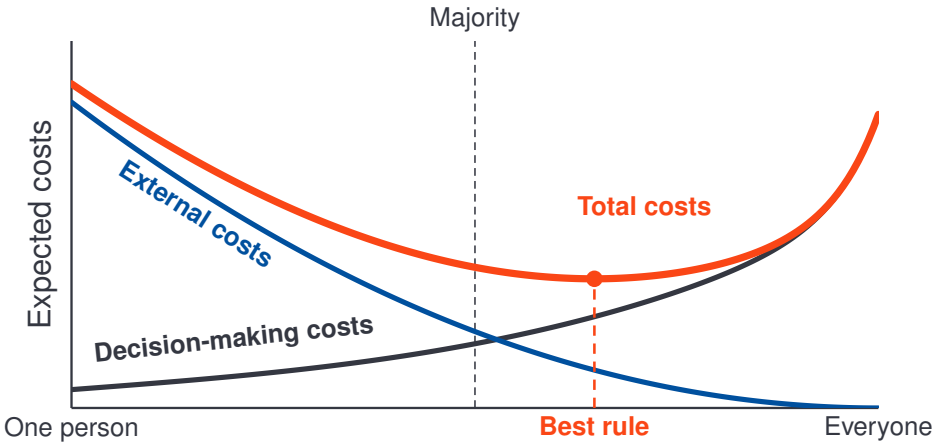


Why 50% + 1?

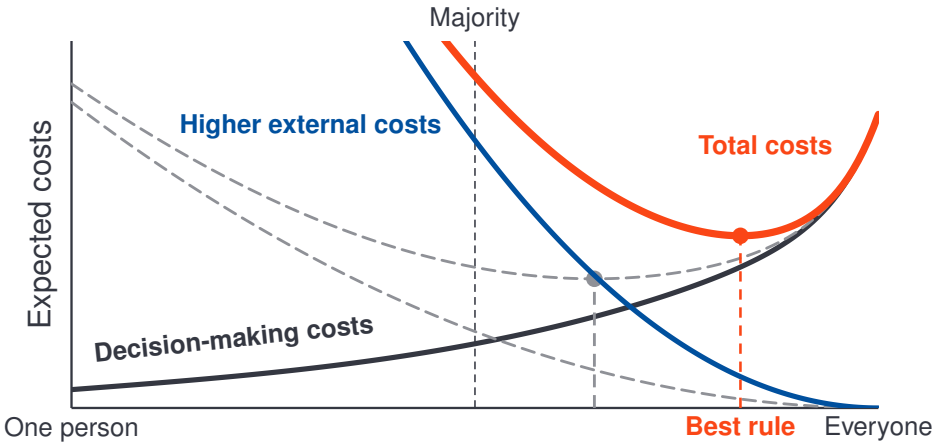
Buchanan and Tullock, *The Calculus of Consent*, 1962

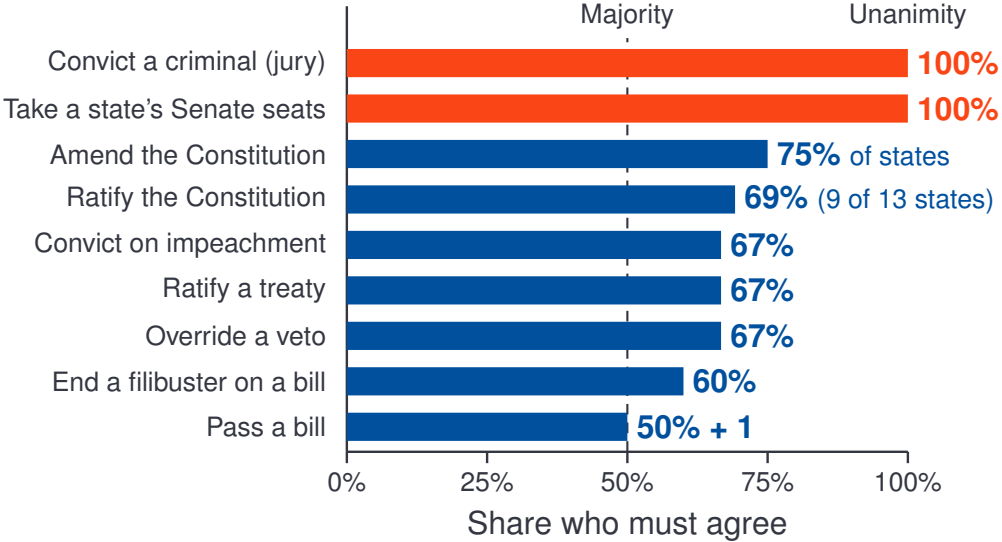
"[O]n a priori grounds there is nothing in the analysis that points to any uniqueness in the rule that requires a simple majority to be decisive. [. . .] On balance, 51 per cent of the voting population would not seem to be much preferable to 49 per cent."

Different rules for different decisions



Different rules for different decisions





Note: share of the deciding body (each house, the Senate, the states, the jury) that must agree; a state cannot lose its Senate seats without its own consent. U.S. Constitution, Arts. I, II, V, VII; Senate Rule XXII; Fed. R. Crim. P. 31(a).

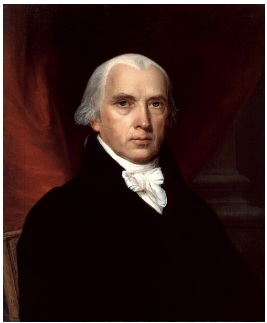
Two houses, two majorities

- A bill must win a House chosen by population, a Senate chosen by state, and a president chosen by the whole nation.
- If the chambers answer to different voters, a narrow interest finds it harder to win all three.

Madison and the majority faction

Madison, *Federalist* No. 10, 1787

"When a majority is included in a faction, the form of popular government, on the other hand, enables it to sacrifice to its ruling passion or interest both the public good and the rights of other citizens."



James Madison
(1751–1836)

The large republic

Madison, *Federalist* No. 10, 1787

"Extend the sphere, and you take in a greater variety of parties and interests; you make it less probable that a majority of the whole will have a common motive to invade the rights of other citizens; or if such a common motive exists, it will be more difficult for all who feel it to discover their own strength, and to act in unison with each other."

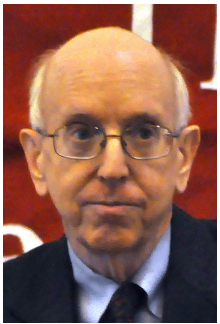


Abel Buell, map of the United States, 1784

The Electoral College and the regions

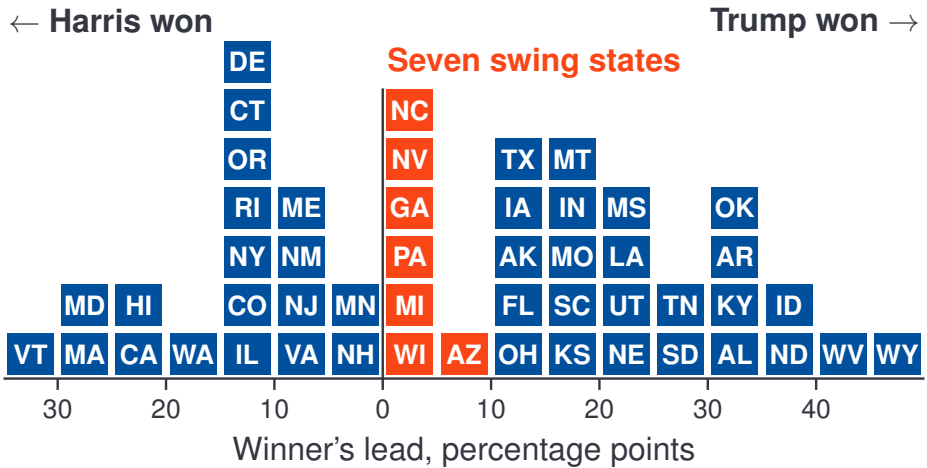
Richard A. Posner, "In Defense of the Electoral College," 2012

"The Electoral College requires a presidential candidate to have transregional appeal. No region (South, Northeast, etc.) has enough electoral votes to elect a president. [. . .] [A] candidate with only regional appeal is unlikely to be a successful president. The residents of the other regions are likely to feel disfranchised—to feel that their votes do not count, that the new president will have no regard for their interests, that he really isn't their president."



Richard A. Posner

chensiyuan
CC BY-SA 4.0



Note: each square is a state, placed by the winner's lead in the 2024 presidential vote, in five-point bands. FEC, certified results.

The Electoral College and election fraud

- Under a national popular vote, a party bent on fraud would steal votes in its strongholds, where it holds the local offices, the legislature and the courts.

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- Under a national popular vote, a party bent on fraud would steal votes in its strongholds, where it holds the local offices, the legislature and the courts.
- Under the Electoral College, a stolen vote helps only in a swing state, where the other party also holds office and watches the count, so fraud is harder and riskier.
- Polarization makes fraud more likely, but the Electoral College keeps its advantage.

Source: Egorov, Georgy and Konstantin Sonin. (2026). “Electoral College and Election Fraud,” *Quarterly Journal of Political Science* 21(1), 75–98.

Private vs. collective decisions

- Deciding what to decide collectively is itself a constitutional choice.
- A private trade needs the consent of the two people who make it. A collective decision brings both costs: getting agreement, and what the group can do to you.
- Make it collective only if your expected external plus decision-making costs are lower than when it stays private.

Source: Buchanan, James M. and Gordon Tullock. (1962). *The Calculus of Consent: Logical Foundations of Constitutional Democracy*. Ann Arbor: University of Michigan Press, pp. 48, 62, 207.

Planning and democracy

Central planning: having economic decisions made by the government instead of by agents engaging in decentralized markets.

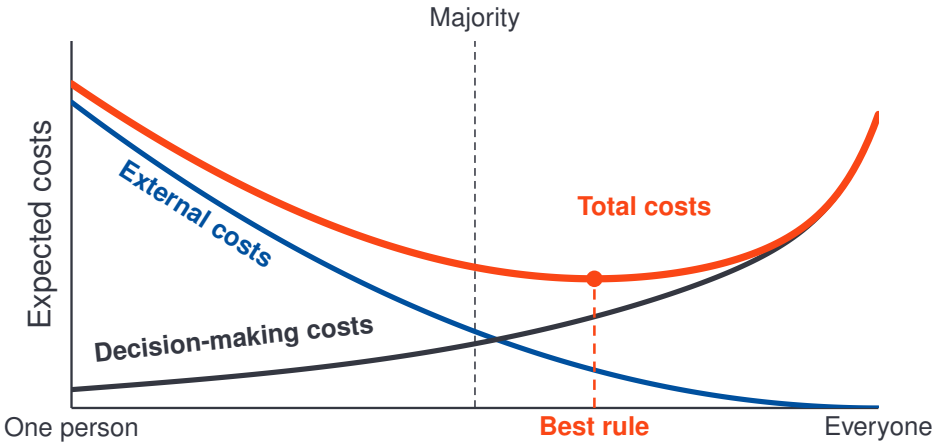
Hayek, *The Road to Serfdom*, 1944

"The inability of democratic assemblies to carry out what seems to be a clear mandate of the people will inevitably cause dissatisfaction with democratic institutions. Parliaments come to be regarded as ineffective 'talking shops,' unable or incompetent to carry out the tasks for which they have been chosen. The conviction grows that if efficient planning is to be done, the direction must be 'taken out of politics' and placed in the hands of experts—permanent officials or independent autonomous bodies."

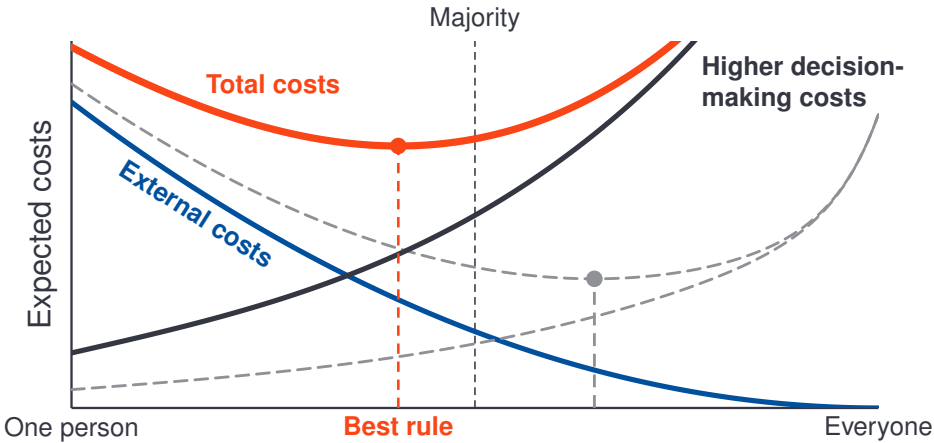


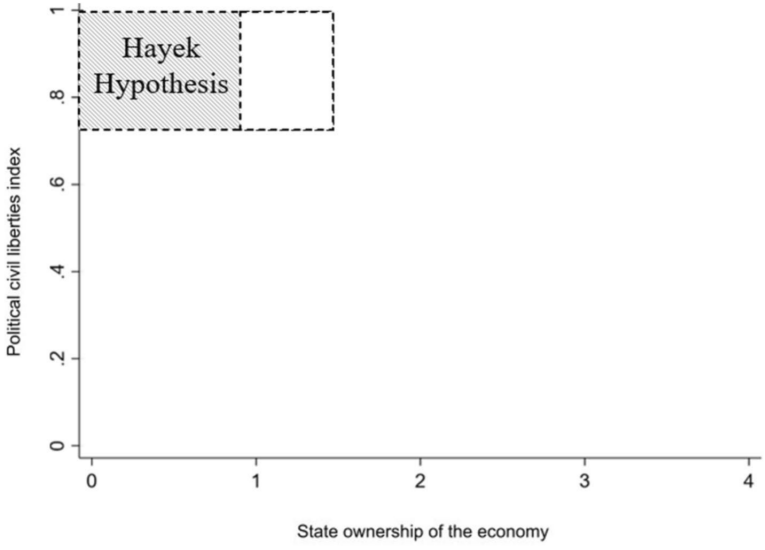
Friedrich A. Hayek
(1899–1992)

When agreement gets harder

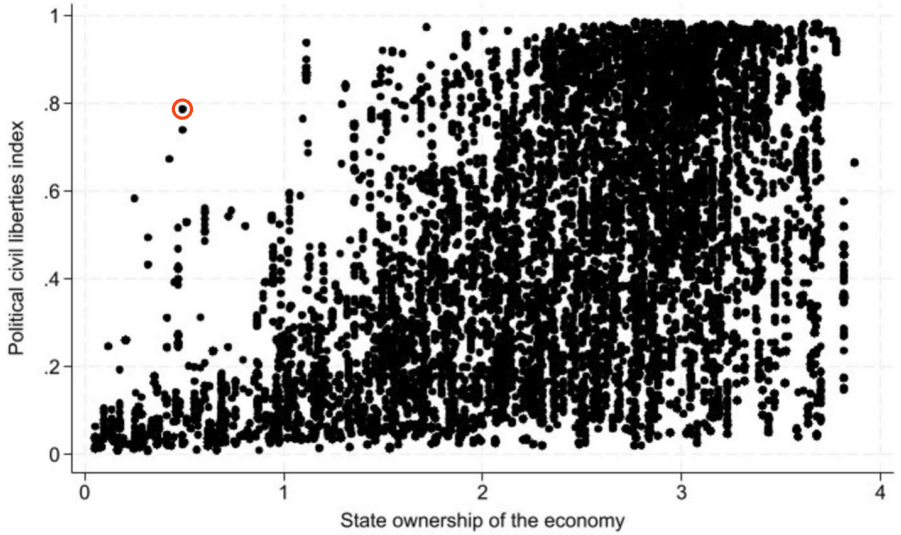


When agreement gets harder





Note: Hatched box: political civil liberties of 0.75 or more with state ownership of 1 or less, the corner the Hayek hypothesis rules out; dashed box: the looser test, up to 1.5 (0 = the state owns virtually all capital, 4 = almost all private). Benzecry, Reinarts and Smith (2025), *Public Choice* 202, Fig. 1.



Note: Each dot is one country in one year, 1789–2021 (V-Dem); left = the state owns virtually all capital, right = almost all private; the lone dot top left, above 0.75 and left of 1, is Belarus, 1991. Benzecry, Reinarts and Smith (2025), *Public Choice* 202, Fig. 2.

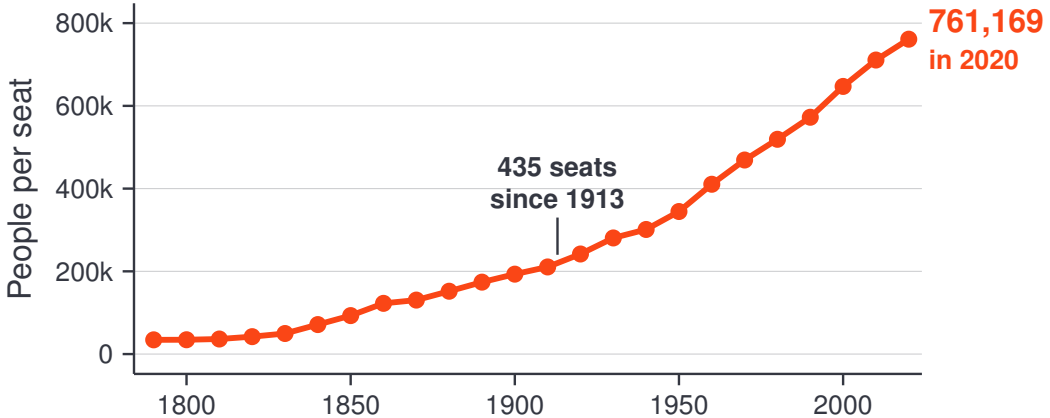
Is capitalism necessary for political freedom?

- Benzecry, Reinarts & Smith (2025): V-Dem data back to 1789. High political freedom with the state owning or controlling most of the economy happened once, for one year: Belarus, 1991.

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- Benzecry, Reinarts & Smith (2025): V-Dem data back to 1789. High political freedom with the state owning or controlling most of the economy happened once, for one year: Belarus, 1991.
- The reverse fails: Hong Kong (1st) and Singapore (3rd) top the world in economic freedom, yet Freedom House rates both only Partly Free. Pinochet's Chile had free-market policies under a military dictatorship.

  $\Rightarrow$ Capitalism looks necessary for political freedom, not sufficient.



Note: persons per seat in the House of Representatives after each census. U.S. Census Bureau, apportionment tables.

The case for a bigger House

The proposal: add 150 seats now (435 $\rightarrow$ 585), then grow the House after every census so that no state loses a seat.

Drutman, Cohen, Levin and Ornstein, *The Case for Enlarging the House*, 2021

"[T]he current size of the House seems to offer the worst of both worlds. The House is not small enough to function as a reasonably deliberative body. Nor is it big enough to allow for a truly effective division of labor in policy-making, or for districts small enough to facilitate meaningful member-constituent connections."

Information free-riding among voters

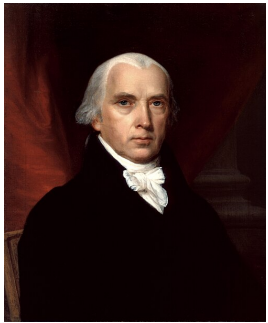
Information free-riding: each person leaves the costly work of learning to others, because his own share of the payoff is small.

- A group project with one shared grade: each member hopes someone else has done the reading.
- Rational ignorance is the voter's case: one voice among 761,169 people almost never decides who wins.
- Smaller districts (about 566,000 people at 585 seats): each voter weighs a little more, and the member is easier to know and to watch.

Madison on the size of the House

Madison, *Federalist* No. 58, 1788

"[I]n all legislative assemblies the greater the number composing them may be, the fewer will be the men who will in fact direct their proceedings. [. . .] The people can never err more than in supposing that by multiplying their representatives beyond a certain limit, they strengthen the barrier against the government of a few. [. . .] The countenance of the government may become more democratic, but the soul that animates it will be more oligarchic. The machine will be enlarged, but the fewer, and often the more secret, will be the springs by which its motions are directed."



James Madison
(1751–1836)

The National People's Congress



Information free-riding among representatives

- The same logic one level up: in a bigger chamber each member's vote decides less $\Rightarrow$ less reason to master the bills, more reason to follow the leaders.
- Power drifts up to the Speaker and the committee chairs, and out to the executive.

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  $\Rightarrow$ less reason to master the bills, more reason to follow the leaders.
- Power drifts up to the Speaker and the committee chairs, and out to the executive.

$\Rightarrow$ If the aim is a stronger Congress against the president, a bigger House may backfire.

Corporate boards



The size of corporate boards

Michael C. Jensen, “The Modern Industrial Revolution,” 1993

“Keeping boards small can help improve their performance. When boards get beyond seven or eight people they are less likely to function effectively and are easier for the CEO to control.”



Michael C. Jensen
(1939–2024)

ESG and decision making costs



The positive economics of constitutions

- A positive question asks what is, and can be tested against facts: which rules do people actually choose?
- If people choose rules to keep decision-making costs plus external costs low, their rules should change predictably with the size of the group and with what is at stake.
- Three laboratories where people write their own constitutions: condominiums, towns and American Indian tribes.

Condominium constitutions

Condominium: you own your apartment but some resources (pool, roof, etc.) are owned in common.

- A condo developer writes the association's constitution before selling a single unit.
- Bad rules lower what buyers will pay, so the developer bears their cost.
- He picks the rules that minimize expected fights over money plus the cost of deciding.



Residents fighting back after condo board proposes pet ban

By News Staff

CityNews Toronto, August 23, 2016

Votes and dues in condominiums

Each condo constitution splits the dues (what owners pay for upkeep) and the votes: equally per unit, by floor area, or by value.

Dues split	One vote per unit	Votes by area	Votes by value	Total
Per unit	35	0	0	35
By area	9	41	0	50
By value	1	0	26	27
All	45	41	26	112

Decision rules in condo constitutions

- Divisive projects are settled before the sale: where units differ, the developer builds more amenities (pools, tennis courts) up front, so owners never vote on them.
- The share of votes needed to approve improvements tends to be lower in resort condos, whose owners are often away $\Rightarrow$ higher decision making costs.

Source: Barzel, Yoram and Tim R. Sass. (1990). “The Allocation of Resources by Voting,” *Quarterly Journal of Economics* 105(3), 745–771.

Town meetings vs. town councils



Town meeting: every voter in town can come, speak and vote on the budget and the town's laws.

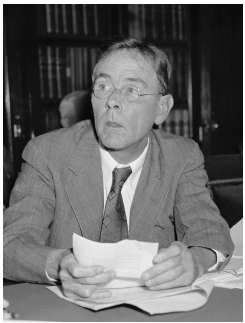
Sass's 102 Connecticut towns, 1980–81: 40 kept the open town meeting; 62 elected representatives.

Tim R. Sass, "The Choice of Municipal Government Structure," 1991

"Large cities don't hold town meetings simply because it would be too expensive."

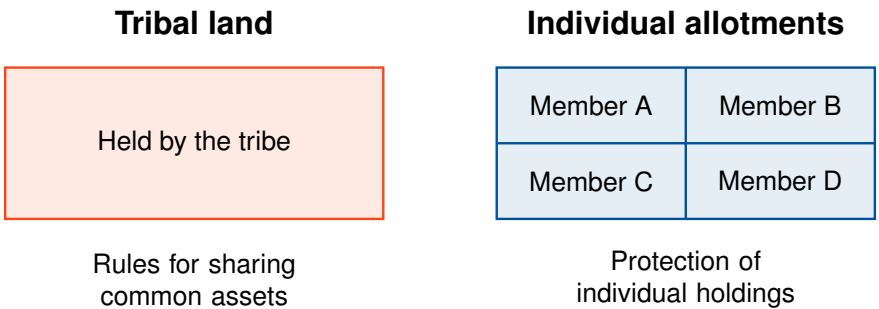
The Indian Reorganization Act, 1934

- Indian Reorganization Act (IRA): a tribe could adopt a written constitution by majority vote, subject to federal approval.
- 258 tribal votes on the IRA, 1934–36: 181 tribes accepted it, 77 rejected it.
- The Bureau of Indian Affairs supplied a model constitution.
- By 1947, 93 tribes, bands or communities had adopted constitutions.

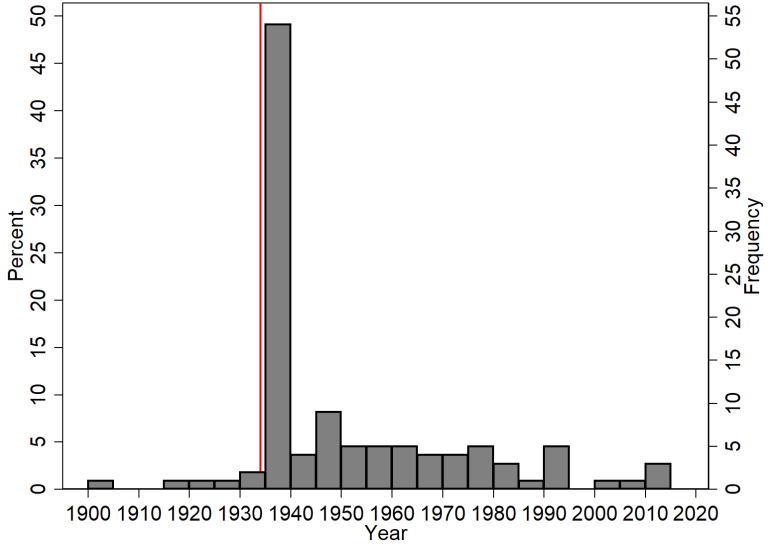


John Collier
(1884–1968)

Common land and individual allotments



Source: Blackfeet Tribe. (1935). *Constitution and By-laws*, Art. VII, secs. 1–2.



Note: Year of ratification of the tribal constitutions in Piano and Rouanet's sample, 1900–2013, in five-year bins; amended constitutions count separately. Red line: Indian Reorganization Act, 1934. Piano and Rouanet (2024), *Public Choice* 199, Fig. 1.

CONSTITUTION AND BY-LAWS OF UNITED KEETOOWAH BAND OF CHEROKEE INDIANS IN OKLAHOMA

PREAMBLE

We, the members of the United Keetoowah Band of Cherokee Indians in Oklahoma, in order to promote our common welfare and to secure to ourselves and our posterity the rights, powers and privileges authorized and offered by the Oklahoma Indian Welfare Act of June 26, 1936 (49 Stat. 1967) and the Act of August 10, 1946 (60 Stat. 976), do hereby ordain and establish the following constitution and by-laws.

ARTICLE I—NAME

The name of this organization shall be the United Keetoowah Band of Cherokee Indians in Oklahoma.

Direct democracy and tribe size

General council: every adult member sits in the tribe's legislature. It is direct democracy, like the town meeting.

- About one constitution in three set one up.

Direct democracy and tribe size

General council: every adult member sits in the tribe's legislature. It is direct democracy, like the town meeting.

- About one constitution in three set one up.
- Smallest tribes: almost a 40% predicted chance of choosing one; tribes of 2,000: 20%.

$\Rightarrow$ Same logic as the town meeting: deciding gets costlier as the group grows.

Source: Piano, Ennio E. and Louis Rouanet. (2024). "The Calculus of American Indian Consent: The Law and Economics of Tribal Constitutions," *Public Choice* 199(3), 341–366.

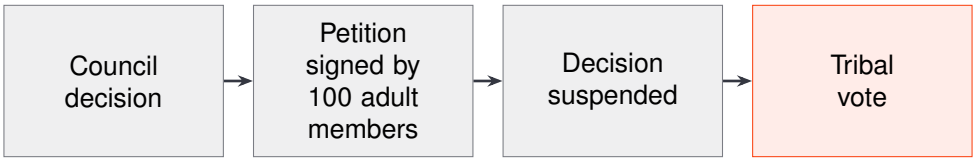
Land management and representative government

Consider two tribes with the same population, but different amounts of land under tribal management.

- More land to manage means more decisions about leases, land assignments and the use of revenues.
- Learning enough to decide becomes costly. Elected representatives can specialize in this work.
- Tribes with a larger share of land held in common were less likely to choose direct democracy.

Source: Piano, Ennio E. and Louis Rouanet. (2024). “The Calculus of American Indian Consent: The Law and Economics of Tribal Constitutions,” *Public Choice* 199(3), 341–366.

The Quechan popular veto, 1936



A majority of adult members must support the veto for the council's decision to lose its force.

Source: Quechan Tribe. (1936). *Constitution and By-laws*, Art. VII.

Age requirements for office

Office	Crow Tribe (2001)	U.S. Constitution
Executive	30 (all executive officers)	35 (President)
Smaller chamber	—	30 (Senator)
Legislature / larger chamber	25	25 (Representative)

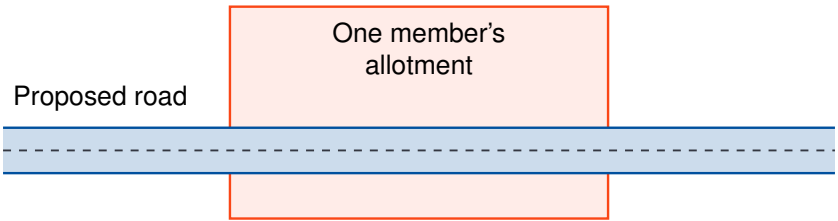
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Fewer seats, more power per seat, a higher age bar.

Source: Crow Tribe of Indians. (2001). Constitution, Art. VI, sec. 4; U.S. Constitution, Art. I, secs. 2–3, and Art. II, sec. 1; Piano and Rouanet (2024).

Private property and majority rule



Blackfeet Constitution, 1935, Art. VII

"such lands may be condemned for public purposes [. . .] upon payment of adequate compensation"

ARTICLE IX - DEMOCRATIC FORM OF GOVERNMENT

Section 1. All operations under this Constitution shall be free from any system of collectivism and/or socialism under any and all circumstances.

Section 2. This Constitution shall stress to the fullest extent of its authority at all times, recognition of and operation under the private enterprise system and democratic way of life.

Tribal membership and common resources

Hypothetical example: $1 million in annual land income, shared equally among members.

Members	Annual income per member
1,000	$1,000
1,250	$800

Total income is unchanged when the 250 new members join.

Blood quantum

Chart for calculating Quantum of Indian Blood

	N-I	1/16	1/8	3/16	1/4	5/16	3/8	7/16	1/2	9/16	5/8	11/16	3/4	13/16	7/8	15/16	4/4
1/16	1/32	1/16	3/32	1/8	5/32	3/16	7/32	1/4	9/32	5/16	11/32	3/8	13/32	7/16	15/32	1/2	17/32
1/8	1/16	3/32	1/8	5/32	3/16	7/32	1/4	9/32	5/16	11/32	3/8	13/32	7/16	15/32	1/2	17/32	9/16
3/16	3/32	1/8	5/32	3/16	7/32	1/4	9/32	5/16	11/32	3/8	13/32	7/16	15/32	1/2	17/32	9/16	19/32
1/4	1/8	5/32	3/16	7/32	1/4	9/32	5/16	11/32	3/8	13/32	7/16	15/32	1/2	17/32	9/16	19/32	5/8
5/16	5/32	3/16	7/32	1/4	9/32	5/16	11/32	3/8	13/32	7/16	15/32	1/2	17/32	9/16	19/32	5/8	21/32
3/8	3/16	7/32	1/4	9/32	5/16	11/32	3/8	13/32	7/16	15/32	1/2	17/32	9/16	19/32	5/8	21/32	11/16
7/16	7/32	1/4	9/32	5/16	11/32	3/8	13/32	7/16	15/32	1/2	17/32	9/16	19/32	5/8	21/32	11/16	23/32
1/2	1/4	9/32	5/16	11/32	3/8	13/32	7/16	15/32	1/2	17/32	9/16	19/32	5/8	21/32	11/16	23/32	3/4
9/16	9/32	5/16	11/32	3/8	13/32	7/16	15/32	1/2	17/32	9/16	19/32	5/8	21/32	11/16	23/32	3/4	25/32
5/8	5/16	11/32	3/8	13/32	7/16	15/32	1/2	17/32	9/16	19/32	5/8	21/32	11/16	23/32	3/4	25/32	13/16
11/16	11/32	3/8	13/32	7/16	15/32	1/2	17/32	9/16	19/32	5/8	21/32	11/16	23/32	3/4	25/32	13/16	27/32
3/4	3/8	13/32	7/16	15/32	1/2	17/32	9/16	19/32	5/8	21/32	11/16	23/32	3/4	25/32	13/16	27/32	7/8
13/16	13/32	7/16	15/32	1/2	17/32	9/16	19/32	5/8	21/32	11/16	23/32	3/4	25/32	13/16	27/32	7/8	29/32
7/8	7/16	15/32	1/2	17/32	9/16	19/32	5/8	21/32	11/16	23/32	3/4	25/32	13/16	27/32	7/8	29/32	15/16
15/16	15/32	1/2	17/32	9/16	19/32	5/8	21/32	11/16	23/32	3/4	25/32	13/16	27/32	7/8	29/32	15/16	31/32
4/4	1/2	17/32	9/16	19/32	5/8	21/32	11/16	23/32	3/4	25/32	13/16	27/32	7/8	29/32	15/16	31/32	4/4
1/32	1/64	3/64	5/64	7/64	9/64	11/64	13/64	15/64	17/64	19/64	21/64	23/64	25/64	27/64	29/64	31/64	33/64
3/32	3/	5/	7/	9/	11/	13/	15/	17/	19/	21/	23/	25/	27/	29/	31/	33/	35/
5/32	5/	7/	9/	11/	13/	15/	17/	19/	21/	23/	25/	27/	29/	31/	33/	35/	37/
7/32	7/	9/	11/	13/	15/	17/	19/	21/	23/	25/	27/	29/	31/	33/	35/	37/	39/
9/32	9/	11/	13/	15/	17/	19/	21/	23/	25/	27/	29/	31/	33/	35/	37/	39/	41/
11/32	11/	13/	15/	17/	19/	21/	23/	25/	27/	29/	31/	33/	35/	37/	39/	41/	43/
13/32	13/	15/	17/	19/	21/	23/	25/	27/	29/	31/	33/	35/	37/	39/	41/	43/	/
15/32	15/	17/	19/	21/	23/	25/	27/	29/	31/	33/	35/	37/	39/	41/	43/	45/	47/
17/32	17/	19/	21/	23/	25/	27/	29/	31/	33/	35/	37/	39/	41/	43/	45/	47/	49/
19/32	19/	21/	23/	25/	27/	29/	31/	33/	35/	37/	39/	41/	43/	45/	47/	49/	51/
21/32	21/	23/	25/	27/	29/	31/	33/	35/	37/	39/	41/	43/	45/	47/	49/	51/	53/
23/32	23/	25/	27/	29/	31/	33/	35/	37/	39/	41/	43/	45/	47/	49/	51/	53/	55/
25/32	25/	27/	29/	31/	33/	35/	37/	39/	41/	43/	45/	47/	49/	51/	53/	55/	57/
27/32	27/	29/	31/	33/	35/	37/	39/	41/	43/	45/	47/	49/	51/	53/	55/	57/	59/
29/32	29/	31/	33/	35/	37/	39/	41/	43/	45/	47/	49/	51/	53/	55/	57/	59/	61/
31/32	31/	33/	35/	37/	39/	41/	43/	45/	47/	49/	51/	53/	55/	57/	59/	61/	63/

Note: All denominators for lower part of scale are 64. "N-I" stands for non-Indian. To determine degree of blood of children, find degree of one parent in left hand column and of the other parent in top row. Read horizontally to right and vertically below to find the proper degree. Example: Child of parents, one 11/16 and the other 5/8 would be 21/32 degree.

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SEC. 2. The membership of the Quechan Tribe shall consist, in the first place, of all persons appearing on the April 1, 1934 census roll of the Tribe. Secondly, all children of resident members shall be entitled to membership; and all children of non-resident members who are one-half or more Indian blood shall be entitled to membership. Finally, the Council shall have power to promulgate ordinances covering the adoption of new members. No person other than Indian shall be adopted in the Quechan Tribe who has not resided upon the reservation for a probationary period not to exceed five years, to be fixed by ordinance of the Tribal Council. Intermarried Indians or descendants of members may be adopted as full members of the Quechan Tribe, but non-Indians who may be adopted shall have no right to hold tribal office or to receive assignments of land, or otherwise to share in the tribal property.

Constitutional choice

- Unanimity is the benchmark
- Two costs: nothing magical about 50% + 1
- More government, fewer deciders
- Constitutions are chosen